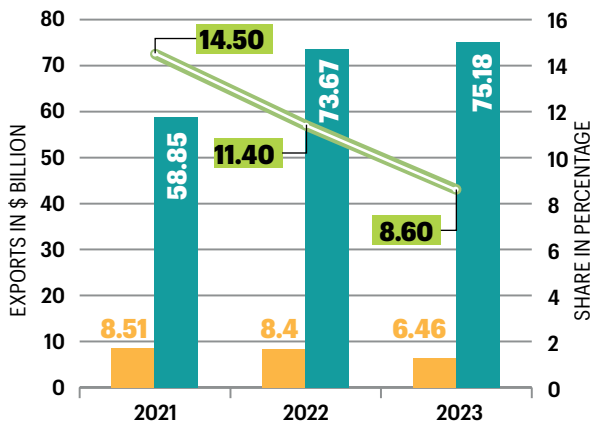


TRACKING EXPORTS TO THE EU

- In 2023, total merchandise exports to the EU from India accounted for \$75.19 billion
- India's exports to the EU from goods covered under CBAM have been reducing since the last three years, from 14.5% in 2021 to 11.4% in 2022 to 8.6% in 2023



● EXPORTS OF CBAM GOODS TO EU (IN \$ BN)
 ● OVERALL MERCHANDISE EXPORTS TO EU (IN \$ BN)
 ● SHARE OF CBAM GOODS IN INDIA'S EXPORTS TO EU (RHS)
SOURCE MINISTRY OF COMMERCE, INDIA EXIM BANK

President Carbon Markets Association of India.

The transition phase may lead to an increase in compliance costs to meet reporting requirements, says Vijay Chauhan, Executive Director at Deloitte India. Indian exporters might need to adapt their production processes to comply with evolving CBAM regulations, requiring investments in tech and infrastructure.

Experts estimate that CBAM's definitive regime may translate into a 20-35% tax on steel, aluminium, and cement imports into the EU. Firms that rely heavily on carbon-intensive processes will need to purchase carbon credits to offset emissions, significantly raising operational expenses. "For instance, the added cost could be in the range of €30-50 per tonne of CO₂ emitted, depending on the carbon price in the EU at that time," says Sareen of Dalberg. Since GHG emissions from India are higher than other countries, CBAM's impact may make exports to the EU uncompetitive. Acknowledging the disadvantage CBAM can put Indian exporters at, India is opposing it as an unfair trade practice and has challenged it at the WTO. But since no change in its present form seems likely as of now, large Indian firms are taking steps to lower their carbon footprint.

For instance, Vedanta Ltd's aluminium business is in complete compliance with CBAM reporting requirements, says John Slaven, CEO-Aluminium Business, Vedanta Ltd. To mitigate the potential increase in export costs, Vedanta has introduced its low-carbon products Restora and Restora Ultra to realise a 'green premium' for its products.

Then there are steel and aluminium manufacturers who are switching to electric arc furnaces (EAF), which offer significant advantage in minimising CO₂ emissions compared to traditional blast oxygen furnace (BOF)-based manufacturing. "EAFs can be powered by electricity sourced from renewable sources like solar or wind, dramatically reducing the reliance on fossil fuels and their associated emissions," says Parmod Sagar, MD & CEO of refractory products maker RHI Magnesita India.

While large firms have the resources to pivot to CBAM-compliant processes, it could be challenging for smaller ones. Can carbon credits help them?

Under the framework, carbon credits from external emission trading systems are not accepted as a direct offset. But experts anticipate that CBAM's implementation may indirectly boost carbon credit purchases in non-EU countries, since businesses may seek to mitigate the financial impact before their products reach the EU. Incidentally, India is actively working to establish a structured carbon trading system. The Bureau of Energy Efficiency and the Ministry of Environment, Forest and Climate Change are planning for an India-specific emissions trading scheme. "India's proactive approach in establishing a domestic carbon market and seeking recognition from the EU could potentially help mitigate the impact of CBAM," says David Sinate, Chief GM of the Research & Analysis Group at India Exim Bank, which has come up with a Sustainable Finance Programme, under which it finances green-, transition-, social-, and sustainability-linked investments of eligible borrowers.

CBAM is also a big opportunity. "It can act as a catalyst for broader sustainability and for India to meet national commitments around climate action," says Hisham Mundol, Chief Advisor, India at the Environmental Defense Fund.

But CBAM isn't the only carbon adjustment mechanism; more countries are evaluating similar mechanisms. So, it makes sense for Indian companies to gear up for such compliance regimes. **BT**

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